The Committee noted that this project was in the process of finalization and would start functioning in a few months. Shroff himself was a prime mover and facilitator in the setting up and in the early years of ICICI (a name which he coined) and was the most important pillar on which that organization was founded. He was the moving spirit behind the institution and was also instrumental in arranging the initial capital.

POSTSCRIPT

With the advent of the Second Five Year Plan and its emphasis on heavy industrialization, commercial banks assumed the role of term financers largely at the initiative of the Government of India. The desirability of institutional credit for small and medium industries also became an issue. With a view to provide refinance facilities to commercial banks in respect of their term loans, in June 1958, the government established the Refinance Corporation for Industry Ltd.[22]

In 1964, the IDBI was set up as the reserve or apex bank of industry. This institution owed its origin to the far-sighted initiative of T.T.K. who it appears thought of establishing the IDBI when the National Industrial Development Corporation (NIDC), also T.T.K.'s brainchild, did not function on the broad lines that he had envisaged. The NIDC was set up in 1954 with a view to secure a balanced development of those industries, both in the public and private sectors, which were necessary to fill the gaps in the country's industrial structure. This was conceived not only as a financing agency but primarily as a development corporation providing both entrepreneurship and finance. In practice it functioned merely as a government agency for investigation and initial processing of government industrial projects, and for channeling special financial assistance to the cotton and jute industries.

The IDBI was originally constituted as a wholly owned subsidiary of the RBI. After it had established itself and proved its worth in effectively carrying out its task as the apex institution for term finance for industry, it was delinked from the RBI in 1976, becoming an autonomous institution. IDBI played a key role in coordinating the activities of other development banks and maintained close working relationships with IFCI and ICICI in all matters relating to financing, promoting, or developing industries.